

Components & Scope -DM

Digital Marketing

- Digital marketing is often confused with online marketing. Digital marketing is the process of promoting a brand, service or product on the internet. Put simply, Digital marketing differs from traditional marketing in that it involves the use of online channels and methods that enable businesses and organizations to monitor the success of their marketing campaigns, often in real-time, to better understand what does and doesn't work.
- The 21st century has witnessed the development of a web presence in most companies.
- E-mail was commonplace and there was technology allowing people to manage this fairly easily

- The most common form of digital marketing is the website of the organization and the epicenter of all its online activities. In order to drive qualified traffic to a website, or encourage repeat visitors and sales, savvy marketers include a combination of email marketing, search engine optimization (SEO), pay-per-click (PPC) advertising, and social media in their strategy.
- The first approach to digital marketing defined it as a projection of conventional marketing, its tool, and strategies, on Internet (**Otero and Rolan, 2016**). **Satya (2015)** defined it as ‘online marketing, ‘web marketing’ or ‘internet marketing.
- The term digital marketing became popular over time, especially in certain countries.
- In the USA online marketing is still prevalent, in Italy is referred to as web marketing but, in the UK, and worldwide, digital marketing has become the most common term, especially after the year 2013.

DEFINITION OF DIGITAL MARKETING

- Digital marketing is an umbrella term for the marketing of products or services using digital technologies, mostly on the Internet, but also including mobile phones, display advertising, and any other digital terms
- Digital marketing is basically applying all marketing techniques to digital channels. Different sources can be used to promote services and products like SMS, search engines, email, websites, social media and mobile devices. The digital nature of this marketing method makes it a cost-effective means of promoting one's business. (Kingsnorth, 2016).
- The use of digital marketing depends on the organisation's marketing objective. It could be that the organization wants to generate more leads, build their brands, increase sales or improve brand engagement.
- Digital marketing means more than just having a website. The website needs to be aesthetically pleasing and easy to navigate, and also needs to have quality content to reflect the nature of the business.
- Taking a website as a major part of digital marketing, they discuss how it can fulfill the definition of marketing
- Identify
- Anticipate And
- Satisfy Customer Needs
- Profitably

- **Identify needs** from customer comments, enquiries, requests and complaints solicited via the web site's email facility, bulletin boards, chat rooms and of course, sales patterns (seeing what's selling and what's not), and by observing new customer groupings identified by data mining through customer data, sales and interests.
- Don't forget online surveys and direct from customer online feedback tools such as those listed at <http://bit.ly/smartfeedback>, assessing satisfaction and requesting suggestions for service or product improvements. Finally, there is a proliferation of online secondary sources of research, many of which provide free in-depth insights into customer needs.

- **Anticipate customer needs** by asking customers questions and engaging them in a dynamic dialogue built on trust.
- And, of course, a little bit of what Amazon calls collaborative filtering helps the company to identify and anticipate what customers might like, given that buyers of similar books have similar interests.
- Customers often welcome suggested books from Amazon.
- And today's sophisticated and profiling techniques allow many companies to do their own data mining to discover and anticipate buyers' needs.
- This is old technology.
- More recent sophisticated profiling technology allows some companies to analyze your interests without even knowing your name – courtesy of the cookie – a bit of code sent to your access device when you visit certain sites.
- So without knowing your name, it knows your interests.
- It recognizes your device and records which types of sites you visit.
- So when you visit a web site and an unusually relevant banner and drops down, that is no coincidence – cookies have anticipated your desires and needs.

- **Satisfy needs** with prompt responses, punctual deliveries, order status updates, helpful reminders, after-sales services and added value services combined with the dynamic dialogue.
- The dialogue maintains permission to continue communicating and then adds value by delivering useful content in the right context (right time and right amount).
- **Efficiently** means in an automated way – an efficient, yet hopefully not impersonal, way (i.e. it allows tailor-made technology to increase the marketer's memory as the relationship effectively blossoms during the customer's life – increasing lifetime value).

- Online marketing may involve promoting or selling online, including:
 - ■ Business websites and targeted landing pages
 - ■ Advertisements – placed on anything viewed over the internet from websites to newsletters, search engine advertising, social media, games, and blogs etc.
 - ■ Newsletters
 - ■ Social media accounts
 - ■ Blogs
 - ■ Online shops
 - ■ Direct communication (talking with someone) or messaging (e.g. phone, Viber, Skype, texting), online chat
 - ■ Video conferencing
 - ■ Broadcasting –TV, radio, video, podcasts (e.g. You Tube), corporate TV programs etc.
 - ■ Sponsorships
 - ■ Games/gaming
 - ■ Directory listings (Free or Paid)
 - ■ Subscription services
 - ■ Emailing
 - ■ Review sites
 - ■ Affiliate marketing

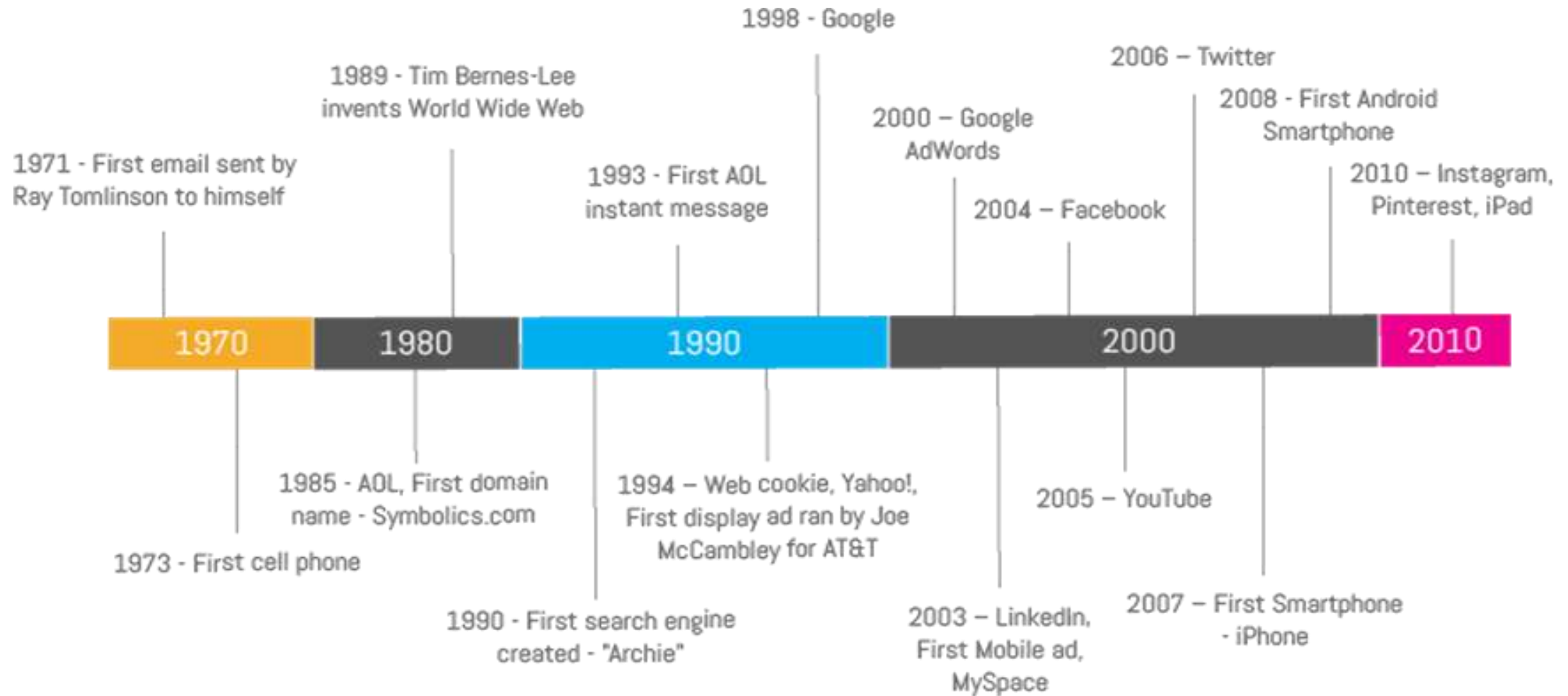
HISTORY AND EVOLUTION OF DIGITAL MARKETING

- Digital marketing first appeared as a term in the 1990s but, as mentioned above, it was very different world then; Web 1.0 was primarily static content with very little interaction and no real communities. The first banner advertising started in 1993 and the first web crawler (called WebCrawler) was created in 1994 – this was the beginning of search engine optimization (SEO) as we know it (Kingsnorth, 2016).
- Once Google started to grow at pace and Blogger was launched in 1999 the modern internet age began. Blackberry, a brand not connected with innovation anymore, launched mobile email and MySpace appeared

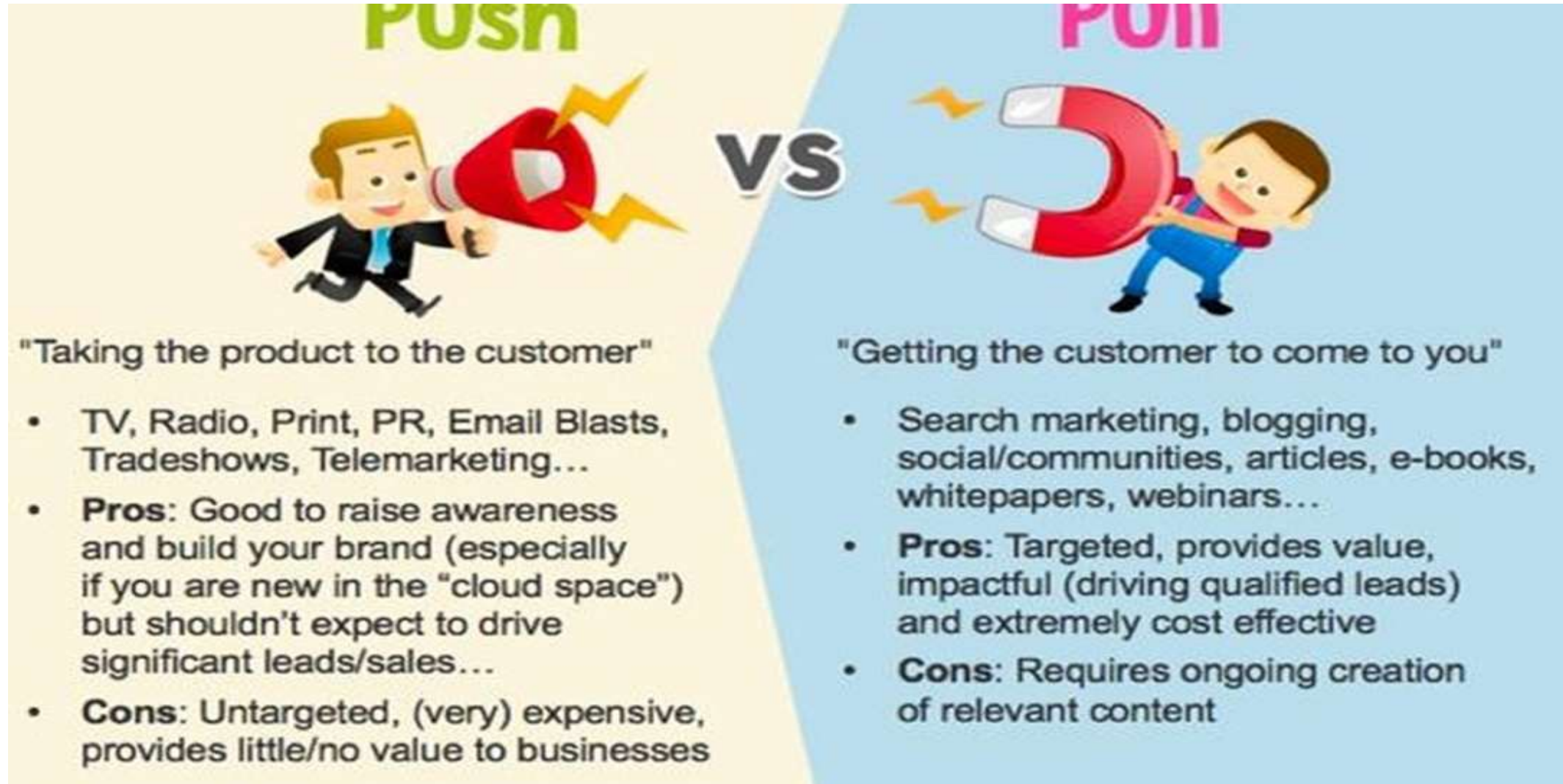
- Banner advertising refers to the use of a rectangular graphic display that stretches across the top, bottom, or sides of a website or online media property.
- Banner ads were the first form of internet-specific advertising, appearing in 1994.
- SEO is the process of [maximizing](#) the number of visitors to a particular website by ensuring that the site appears high on the list of results returned by a search engine.
- A web crawler, or spider, is a type of bot that is typically operated by search engines like Google and Bing. Their purpose is to index the content of websites all across the Internet so that those websites can appear in search engine results.
- Web indexing
- Web pages are found by being indexed. Indexing is the process of search engines visiting and analysing new and updated web pages before adding them to their index (database) of webpages.

- “One of the technologies which really brought information revolution in the society is Internet Technology and is rightly regarded as the third wave of revolution after agricultural and industrial revolution” (Gangeshwer, 2013)
- The first search engine started in 1991 with a network protocol called Gopher for query and search. In 1993, the first clickable banner went live, after which HotWired purchased a few banners ads for their advertising.
- This marked the beginning of a new era, the digital era of marketing. Because of this gradual shift, the year 1994 saw new technologies entering the digital marketplace. The very same year, Yahoo was launched. 1998 saw the birth of Google. Microsoft launched the MSN search engine and Yahoo brought to the market Yahoo web search.
- In 2000, the internet bubble burst and all the smaller search engines were either left behind or wiped out leaving place for the giants.
- Then in 2006, digital marketing world saw its first steep surge. At that time, search engine traffic already grown to about 6.4 billion in a single month. Soon, Google began to expand and along with this social networking sites began to emerge.

- Myspace was the first social networking site followed by Facebook. With this, companies realized that all these new sites are opening new doors of opportunity for them to market their products and brands.
- Products marketed digitally are now available to customers at all times. Statistics collected by the Marketing tech blog for 2014 show that posting on social media is the top online activity in the US.
- The average American spends 37 minutes a day on social media. 99% of digital marketers use Facebook to market, 97% use Twitter, 70% use Google+, 69% use Pinterest and 59% use Instagram.
- 70% of B2C marketers have acquired customers through Facebook. 67% of Twitter users are far more likely to buy from brands that they follow on Twitter. 83.8% of luxury brands have a presence on Pinterest.
- The top three social networking sites used by marketers are LinkedIn, Twitter, and Facebook. Figure 1.2 illustrates the history and evolution of Digital Marketing as a field of marketing



TYPES OF DIGITAL MARKETING APPROACHES – PULL AND PUSH DIGITAL MARKETING



- There are two types of digital marketing and one of these is pull digital marketing.
- It aims to encourage consumers to come to you by visiting your business or making a call to action.
- Some of the common examples of pull digital marketing are websites and other internet based mediums.
- Pull marketing is often called inbound marketing. Another type of digital marketing is push digital marketing.
- It pushes the marketing information directly to your customers. Common examples include SMS, email and RSS that target the customer with a customized message. Push marketing can also be called outbound marketing.

TYPES(OF ONLINE PRESENCE)Components

- When assessing the relevance and potential of digital marketing for a business, remember that different business types offer different opportunities and challenges. Chaffey and Ellis Chadwick (2015) identify five main types of online presence or components
- ***Transactional e-commerce site.*** Online retailers, travel, financial services providers or manufacturers make their products available for online purchase. The main business contribution is through the sale of these products. The sites also support the business by providing information for customers who prefer to purchase products offline.
- ***Services-oriented relationship building or lead-generation web site.***
- Provides information to stimulate purchase and build relationships. Products are not typically available for purchase online. Information is provided through the web site, along with email marketing, to inform purchasing decisions. The main business contribution is through encouraging offline sales and generating enquiries or leads from potential customers. Such sites also help by adding value for existing customers by providing them with information of interest. Examples: B2B examples are management consultants such as PricewaterhouseCoopers (www.pwc.com) and Accenture (www.accenture.com). Most car manufacturers' sites may be services-oriented rather than transactional.

- ***Brand-building site.***

Provides an experience to support the brand and current campaigns. Products are not typically available for online purchase, although merchandise may be. The main focus is to support the brand by developing an online experience of the brand through content marketing integrated with social media outposts. They are typical for low-value, high-volume, fast-moving consumer goods (FMCG brands). Examples: Lynx (www.lynxeffect.com) and Guinness (www.guinness.com).

- ***Portal or media site.***

The main purpose of these types of intermediaries or publishers is to provide information and content. The term portal refers to a gateway to information or a range of services such as search engine, directories, news, blog content, shopping comparisons, etc. This is information both on the site and via links through to other sites. Online publishers have a diversity of options for generating revenue, including advertising, commission-based sales (affiliate marketing) and selling access to content through subscription or pay-per-view. Examples: Yahoo! (www.yahoo.com), the financial Times Online (www.ft.com) or TripAdvisor (www.tripadvisor.com).

Social network or community site.

A site enabling community interactions between different consumers (C2C model). Typical interactions include posting comments and replies to comments, sending messages, rating content, and tagging content in particular categories. Well-known examples include Facebook and LinkedIn, but many less well-known niche communities may be important within a market. In addition to distinct social network sites, social interactions can be integrated into other site types through plugins or application programming interfaces (APIs). The Facebook APIs are very important in integrating Facebook 'Like' buttons and content into sites through services such as the Facebook social plug-in.

Remember that these are not clear-cut categories of websites. Many businesses will have sites that blend these elements, but with different emphasis depending on the market in which they operate. To engage their audience and so increase advertising revenue, social networking sites are also looking to provide many of these services through social network company brand pages, sometimes called 'social outposts' for short.

Digital Marketing strategies offer much potential for brands and organizations. Otero and Rolan (2016) put forward some of them are:

- **Branding:** the platform is a great opportunity to build a brand image on the Web due to its scope, presence, and constant updates.
- **Completeness:** the advantages of assembling information through links offer customers the chance to approach the organization in a wider and customized way.
- **Usability:** simple and user-friendly platforms are available for all to improve user experience and allow for their activities.
- **Interactivity:** the internet offers the possibility of having a conversation and therefore generating a positive experience with the brand.
- **Visual communication:** with digital marketing, marketers have a different image and video-based tools. This helps to reach audiences and get them involved in your activities.
- **Community connection:** the internet offers the opportunity for businesses to connect with their audience.

Scope of DM

- **You can target a local audience, but also an international one.**
- **Your audience can choose how they want to receive your content.**
- **Interaction with your audience is possible**
- **Digital marketing is cost-efficient.**
- **Data and results are easily recorded.**
- **Level playing field: Real-time results**
- **Brand Development**
- **Viral**
- **Buzz**